

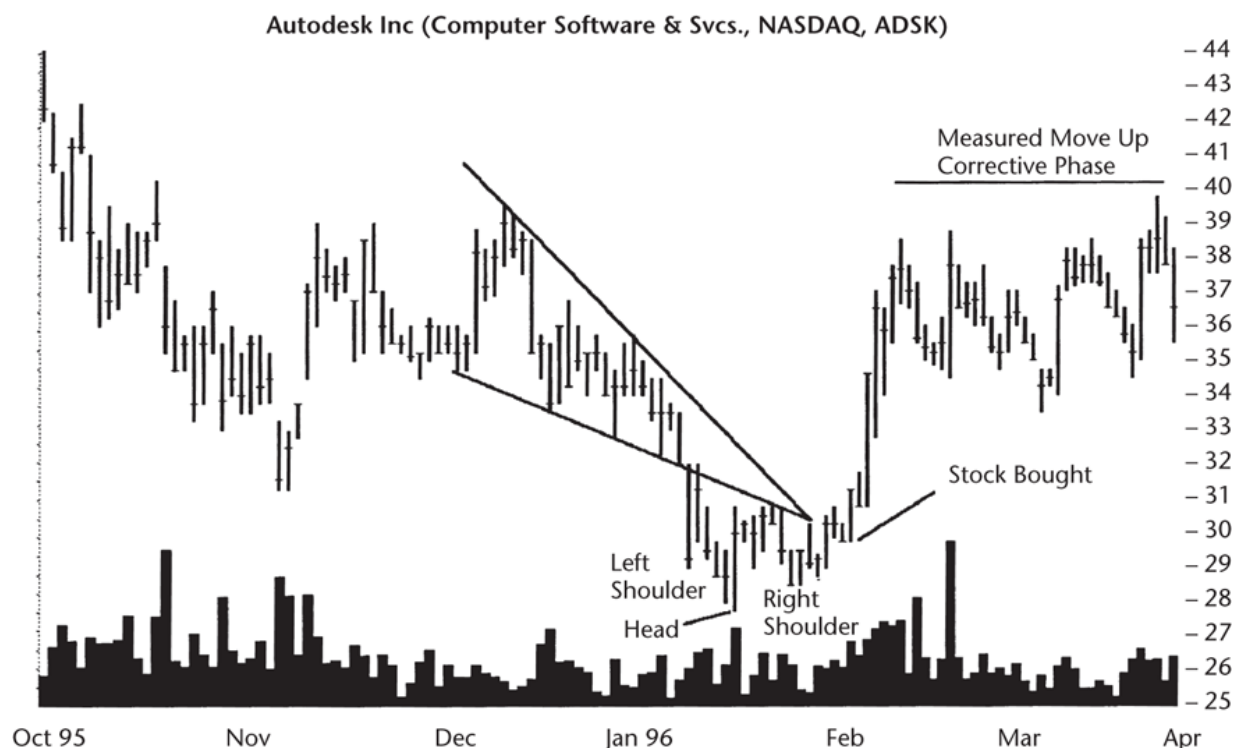


Figure 73.6 More than one-fourth of falling wedges drop below the bottom trendline and then quickly turn up and head higher. A small head-and-shoulders bottom appears as price swings around the apex.

Clint watched the stock stumble and then saw the falling wedge form. He hoped that the new chart pattern marked the limit of the downward move and that he could buy in at a good price with a mouthwatering chance of price rising to the old high.

When the stock punched through the bottom wedge trendline, he waited to see what price would do next. It curled around and made a mini-head-and-shoulders bottom. He penciled in a neckline joining the armpits between the two shoulders, which followed the slope of the lower wedge trendline.

Once price pushed above the neckline and above the wedge apex, “I placed an order to buy. It filled at 30.” Clint's timing was excellent. Two days after he bought, price was already in the mid-thirties and climbing. He saw price go horizontal in mid-February through March and wondered if this was the corrective phase of a measured move up chart pattern. That is the way he decided to play it.

The base of the measured move was at the head, 27.75, and the top of the corrective phase was at 38.50. The height was the difference between the